

(See chart *Market Metrics*.) History is replete with instances when markets have moved in cycles, and each cycle has comprised of an upswing and a downswing; only the periods of the swings differ, but the composition stays the same. And, hence, some of the most successful stock market investors—including the legendary Warren Buffet—have repeatedly said that it is just not possible to time the market to get the maximum returns.

There is little doubt that equities have proved to be the best asset class in terms of returns over the long term, but one should never forget another important adage, perhaps more relevant than what Templeton said: “Stock market investments are subject to market risks.”

FACTORS OF RISK

Business Today reached out to some of the most prominent market experts—domestic and foreign brokerages, mutual funds, portfolio managers and well-known individual investors—to gauge their views on what they feel the market could have in store in the coming months. More specifically, the aim was to understand the key risks that investors should bear in mind while investing, even as an increasing number of individuals, especially retail ones, take the plunge into the capital markets and put their hard-earned money in stocks.

There is no dearth of risks, both on the global and domestic front, is the firm conclusion of the experts. But in this instance, the proof of the pudding lies not in gorging on the current good run in the markets blindly, but in understanding the risks thoroughly and navigating them smartly, they say.

Inflation, elevated expectations of earnings growth, rising crude prices, the hawkish stance of central banks globally (especially the US Federal Reserve), any slowdown in FPI and DII flows, the possibility of recession, or recession-like scenarios in some developed markets, the impact of a potentially deficient monsoon, and political surprises at the upcoming state and general elections are all top contenders to be the biggest risks facing the markets. “A busy political calendar in the coming months remains a risk. We could see volatil-



“The Street’s growth expectations for Nifty 50 remain elevated; a busy political calendar, erratic rains, rising crude, and a potential stimulus in China impacting FPI flows to India are challenges”

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“[The risks are] global equity correction/de-rating as bond yields rise; higher oil prices which hurt India’s twin deficits; and the risk that mass market consumption does not revive as expected”

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ity in the markets as some of the key states go for state elections,” says Amish Shah, Head of India Research of BofA Securities India. “Further, one could expect near-term headwinds from erratic rains weighing on inflation, rising crude prices impacting margins in select sectors, and a potential economic stimulus in China impacting FPI flows to India,” he adds, though he believes that the risks are transitory and likely to normalise over a year’s time.

Indeed, as India’s inflation has been on a steady

\$15.1 BILLION

NET FPI FLOWS IN INDIAN EQUITIES IN
CY23 TILL AUGUST 16, PER NSDL

\$11.2 BILLION

NET DII FLOWS IN INDIAN EQUITIES IN CY23
TILL AUGUST 16, PER BSE